

bottoms to confirm the pattern as valid. Always wait for confirmation unless you have a special reason for entering a trade earlier (I can get creative in my excuses, such as “I like to lose money” and “The sun was in my eyes.” How about you? Any favorites?).

Trade with market trend. Trade double bottoms in bull markets because they are bullish patterns. Even if you make mistakes, a rising tide lifts all boats and the market is more forgiving. Trying to trade a bullish pattern in a bear market is like being swatted by a rolled-up newspaper. It could hurt.

Table 28.11 Special Features

Trading Tactic	Performance
Small bottom-to-bottom variation	39%
Large variation	45%
Median bottom-to-bottom variation	1%
Lower left bottom	45%
Lower right bottom	39%

Check others in the industry. Are other stocks in the same industry doing well? Are they showing bottom reversal patterns (double or triple bottoms, head-and-shoulders bottoms, that sort of thing)? If many companies in the industry are doing well, that should give other investors the courage to buy the stock and add to demand. That activity reduces your chance of a small gain.

However, if stocks in the industry look sick, what makes you think this stock will do well after the breakout? It will be swimming against the industry current.

If the industry is weak, save yourself some money, aggravation, and avoid the stock. Look for a more promising chart pattern in another industry.

Stop location. [Table 28.7](#) shows how often three locations in the double bottom will trigger a stop-loss order if it's placed there. That gives you an idea of how often you may be stopped out, so visit with the results and tell them Tom sent you.